

CMES4 v2 trader's sheet

Risk 0.5% a trade • max 3 trades a day • flat by 15:55 New York

E-mini S&P 500 (ES) day trade • CME University Trading Challenge, October 2026 • use with the CMES4 v2 ticket (CMES4_v2_ticket.xlsx)

1 What it is

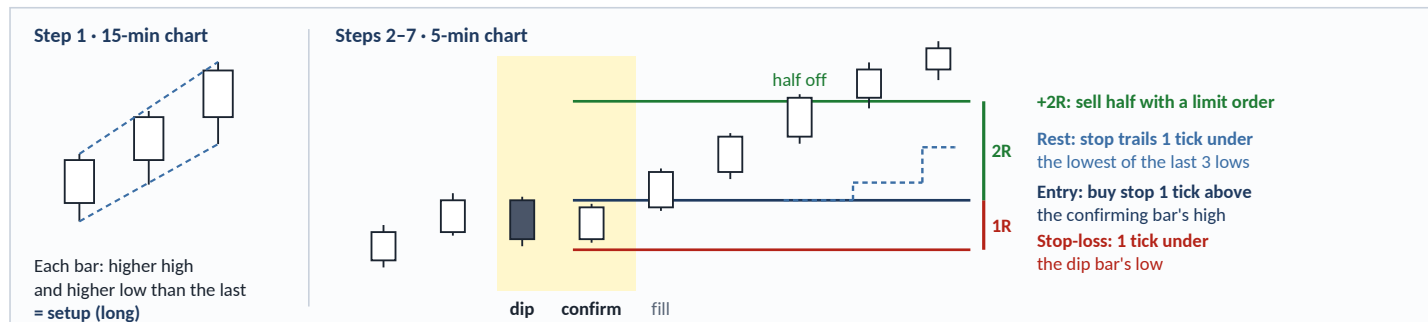
A trend-following day trade in the E-mini S&P 500 (ES). When the 15-minute chart is clearly trending, wait for a small dip on the 5-minute chart and buy as price turns back up. In a downtrend, wait for a small bounce and sell as it turns down. The loss is small and set in advance; take half the profit at twice your risk and let the rest ride until the trend turns.

2 Why it works

After three steady 15-minute bars one way, a short pause often resolves in the same direction, so buying the pause gets you in with a tight stop instead of chasing. Trend-pullback entries are a staple of futures day trading, and S&P 500 studies find intraday moves tend to carry on, most of all near the open and close (Gao et al., 2018).

3 How to spot it and trade it

Charts: ES (December), a 15-minute and a 5-minute candle chart side by side, no indicators. Long shown; for a short, flip every high and low and sell instead of buy. 1 tick = 0.25 point. **R** is your risk on the trade: entry minus stop.



Time you have (usually 10–20 minutes from setup to order; most trades last under an hour)

Setup	Dip bar	Confirming bar	Ticket and order	Entry order working	In the trade
A 15-min bar closes: check at :00, :15, :30, :45	Within the next 15 min (three 5-min bars)	The very next 5-min bar	About 1 minute	10 minutes, then cancel	Up to 60 min to reach +2R; the rest can stay until 15:55 NY

- Trend.** When a 15-min bar closes, look at the last three. Each must have a **higher high and a higher low** than the bar before. If so, you have a setup.
- Dip.** On the 5-min chart, within the next three bars, wait for a bar whose **low goes below the previous bar's low**. Equal doesn't count. No dip in time: the setup is over; go back to step 1.
- Confirm.** The **very next** 5-min bar must **close above the dip bar's close**. If not, a new dip inside the same 15 minutes still counts; otherwise no trade.
- Ticket.** As soon as the confirming bar closes, type both bars' high, low and close into the ticket. Trade only if it says **GO**.
- Order.** Buy stop 1 tick above the confirming bar's high, with a stop-loss 1 tick under the dip bar's low on all contracts and a limit at +2R on half. Not filled in 10 minutes: cancel.
- Manage.** When the +2R half fills, move the other half's stop to your entry price. After each 5-min bar, raise it to 1 tick under the lowest low of the last three bars. Never lower it.
- Exit.** If +2R isn't reached within 60 minutes of the fill, close everything at market. Always be flat by 15:55 New York.

4 Size it

- Risk 0.5% of the CQG balance per trade**, about \$5,000 on \$1.0M. Stay at 0.5% until the team signs off 1%.
- Contracts = \$5,000 ÷ (stop in points × \$50 + \$5)**, rounded down. The ticket does this for you.
- Never more than margin allows:** balance ÷ CQG margin per ES, about 34 at \$1.0M and \$28,600 a contract.
- Split:** put half the contracts on the +2R limit and let the rest ride. Odd number: the extra one rides.

Stop (points)	2	3	4	5	6	8	10	12
ES contracts	34*	32	24	19	16	12	9	8

Contracts at a \$1.0M balance and 0.5% risk. *Capped by margin.

Risk rules: if this happens, do this

If	Do this
The stop is under 2 or over 12 points from the entry	Skip the trade
The entry hasn't filled after 10 minutes	Cancel it. Don't chase.
Price jumps through your stop	Close at market now. Never widen a stop or add to a loser.
2 losing trades today, or 3 trades taken	Stop trading CMES4 for the day
US data (often 10:00 New York) or the Fed is due within 15 min	Don't enter. Already in: leave the stop where it is.
You can't watch the screen for the next hour	Don't enter
CQG rejects the order for margin	Cut the size to what margin allows
The account is down 3% or more on the week	Use 0.25% risk the following week

5 Also important

New setups only	Morning	Afternoon	Flat by
Dublin, to Fri 23 Oct	14:45–16:30	19:00–20:30	20:55
Dublin, from Mon 26 Oct	13:45–15:30	18:00–19:30	19:55
New York, all dates	09:45–11:30	14:00–15:30	15:55

Wed 28 Oct (Fed at 18:00 Dublin): morning only, flat by 17:55. Fri 30 Oct: morning only, team flat by 19:00. Skip the midday lull between the windows: trends stall there.

- Expect more losers than winners.** About one trade a day. In simulated tests about 1 trade in 4 reached +2R, and runs of 5 or more losers happened. Keep taking valid setups at the same size.
- Daily minimum:** one trade of 5 or more ES also covers the 10 contracts.
- Log it:** every setup in Decisions, taken or skipped, with the bar times; every trade in Trades with the ticket's numbers.
- Not yet proven on real ES prices.** Stay at 0.5% until the team's backtest check passes.